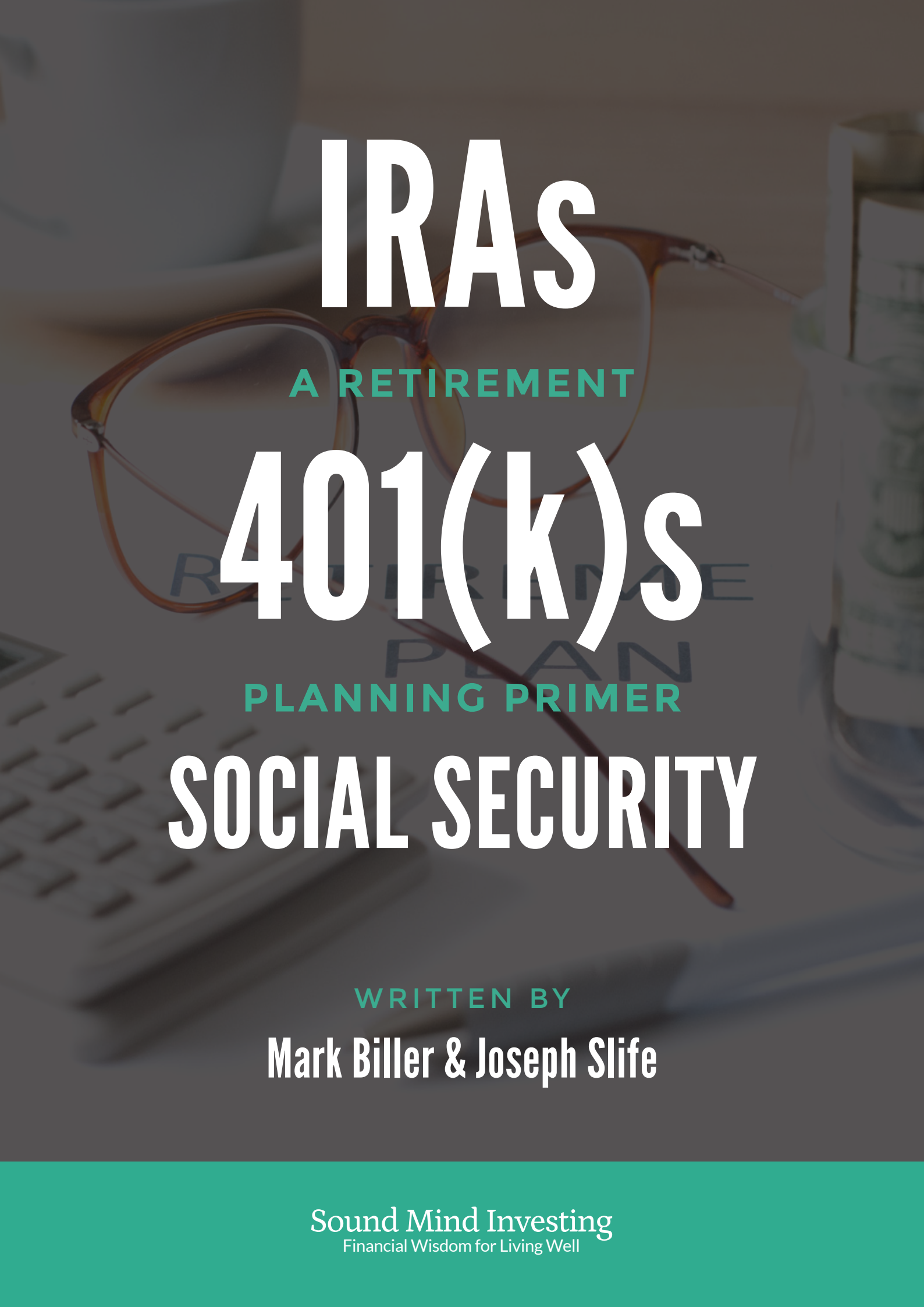




# IRAs

A RETIREMENT

# 401(k)s

PLANNING PRIMER

# SOCIAL SECURITY

WRITTEN BY

**Mark Biller & Joseph Slife**

Sound Mind Investing  
Financial Wisdom for Living Well

The number of people joining the ranks of the “retired” is growing twice as fast as the overall population. By 2030, the post-WWII “baby boomers” will increase the prime-timer population to 73 million—one in five Americans.

Overall, we will live longer than past generations. Life expectancy continues to increase thanks to advances in healthcare, nutrition, and exercise.

Of course, living longer costs money—and a basic fact of retirement is that you don’t want your money to run out before you do!

To estimate how long you’ll live in retirement, consider the example of 65-year-old men shown in the table on the right. On average, a man who reaches age 65 is expected to live another 19 years. (Roughly half of men at age 65 will live more than 19 years, and half will live less. To be safe financially, you should assume you’ll be in the group that lives longer.)

If you reach age 85, your expected lifespan increases by another 6 years. This means, barring any health issues, your goal should be to have enough money to support yourself (and your spouse if you’re married) into your 90s.

**If that feels a bit overwhelming given your current financial situation, don’t lose hope.** By reading this report, you are taking the first step toward overcoming three of the four most common causes of financial failure.

- **A failure to inquire.** Many people are unaware of the serious financial implications of our changing society and how they will be affected by it.

LIFE EXPECTANCIES

| Age | Men           | Women         |
|-----|---------------|---------------|
| 30  | 52 more years | 56 more years |
| 35  | 47 more years | 51 more years |
| 40  | 42 more years | 46 more years |
| 45  | 37 more years | 40 more years |
| 50  | 32 more years | 36 more years |
| 55  | 28 more years | 31 more years |
| 60  | 23 more years | 26 more years |
| 65  | 19 more years | 22 more years |
| 70  | 15 more years | 17 more years |
| 75  | 12 more years | 14 more years |
| 80  | 9 more years  | 10 more years |
| 85  | 6 more years  | 7 more years  |
| 90  | 4 more years  | 5 more years  |
| 95  | 3 more years  | 4 more years  |

- **A failure to learn. Once aware, they may lack the know-how to begin organizing their finances.**
- **A failure to plan.** Even informed, knowledgeable people can let years pass without setting goals and developing a strategy to achieve them.

But after we inform you of the seriousness of the situation, teach you the basics of survival, and guide you through the planning process, there's still one element only you can overcome:

- **A failure to act.** Procrastination can be the biggest obstacle to reaching your financial goals. Commit yourself now to making the necessary sacrifices to establish a solid foundation for your family's finances.

## Where's the money coming from?

Your retirement income rests on “a three-legged stool.”

**Social Security** has traditionally been seen as one of the three legs; however, its long-term funding issues (discussed below) make it difficult to confidently predict the level of benefits available 20 years or more in the future. Historically, the program has provided 35%-45% of retirees' monthly income; to be cautious, investors under age 50 should assume a lower percentage to account for the uncertainty.

**Private employer-sponsored retirement plans** such as company pensions and 401(k) plans, are the second leg and typically contribute about 15% to

20% of retirees' monthly income, according to the Social Security Administration. However, there is significant variation possible.

The third leg? **Personal savings and retirement funds**, such as money invested in an Individual Retirement Account (IRA). It is this leg over which individuals have the most control. Given Social Security's long-term uncertainties and the fact that 401(k)-type accounts are linked to specific and ongoing employment, personal savings will likely become more important for providing sufficient retirement income in the future.

## Social Security

From the founding of our country until the 20th century, most Americans believed that caring for the elderly was a family responsibility. Although Christian charities, churches, and local governments often helped individuals with special needs, the primary responsibility remained with the individual and that person's extended family.

This changed with the passage of the Social Security Act of 1935. For the first time, it became morally acceptable for the government to take money from one group of citizens to give to another. *Responsibility for the elderly shifted, at least partially, from individuals and families to society through a dedicated tax designed for that purpose.*

To obscure the fact that Social Security is really a wealth-transfer program, the government called it “Old Age and Survivors Insurance.” After all, buying insurance is a sensible financial move every family should consider. But Social Security

isn't like real insurance at all; "premiums" paid into the Social Security system have little direct link to an individual's eventual benefits.

In his book, *Beyond Our Means*, former *Wall Street Journal* editor Alfred Malabre shares a compelling scenario:

*Consider a worker who began paying into the system in 1937, when it was launched, and worked until 1982. If he had paid the maximum in Social Security taxes each of the 45 working years, his [tax] payments would have totaled \$12,828. His benefits would have begun [in 1982] at \$734 a month.*

*If he were married, his wife would collect half of his benefit, or an additional \$367 monthly, bringing their total first-year benefit to \$13,217, or more than he had paid in the 45 years of employment.*

Malabre further demonstrates that if the same couple lived to average lifespans, their total benefits would reach about \$375,000! (You might wonder how all this generous support is possible. We'll discuss that shortly.)

The government has led people to believe that Congress is obligated to honor the financial commitments made under the Social Security program. That is not true. Congress can change the rules at any time, as it did in 1983 when a law was passed that started raising the "retirement age" from 65 to 67. What many people had been promised for half their working lives (full benefits at age 65) was changed with the stroke of a pen.

"Well," you might think, "at least I can count on the money being there to pay my benefits because it's being held in a trust

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*Procrastination can be the biggest obstacle to reaching your financial goals. Commit yourself now to making the necessary sacrifices to establish a solid foundation for your family's finances.”*

fund.” But that's not how it works. The Social Security program hasn't set aside any money for future benefits—and never has.

Remember the example above about people receiving large sums relative to what they invested. Since their withholdings couldn't have increased that much just from investments, how was that even possible?

Simple. From the billions of dollars of “contributions” coming into the program from younger workers, Social Security takes what is needed to pay benefits to older, retired workers. In other words, the Social Security system transfers the money from one group of people to another.

For several decades, Social Security collected more in taxes than it disbursed in benefits. Legally, the surplus was “invested” in special Treasury bonds. But here's what that really means: The Social Security Administration lent the excess money to the Treasury Department, and the federal government, in turn, spent it on whatever it



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wanted. The funds that the Social Security Administration claims “in trust” are not actual money but trillions of dollars in Treasury Department IOUs. No one can tell you where the government will find the money to pay back Social Security so that future benefits can be covered.

Still, if you plan to retire within the next decade, you’re probably in pretty good shape regarding Social Security. There might be small benefit adjustments along the way, but Congress’s failure to address the system’s huge problems will probably continue for at least a few more years. Eventually, there will be a day of reckoning, and the rest of us are likely to be quite unhappy with whatever “fix” Congress devises (and the younger you are now, the more unhappy you’ll probably be!).

Given the uncertainties about Social Security’s ability to sustain its current retirement benefits over the long term, private retirement plans become even more important. Having a clear understanding of the strengths and weaknesses of these plans is crucial for realistic planning.

## Employer-sponsored retirement plans

There are two types of employer-sponsored retirement plans. One is called a **“defined-benefit” plan**. With this type, an employer agrees to pay you a specific dollar amount each month upon retirement—for as long as you live. It is the employer’s responsibility to set aside money to fund your retirement. The employer also bears the responsibility for how that money is invested and how well the investments perform from now until your retirement.

If your company has a defined-benefit plan, you can learn more about it by requesting information from your company’s human resources department (your employer is required by law to give you a summary of the plan written in plain language). This “summary plan description” will detail topics such as eligibility, benefit formulas, survivors’ benefits, and more.

Many companies also provide—once a year—a personalized “employee benefit

statement” that explains the benefits you’ve earned so far and offers an estimate of your upcoming monthly retirement check. Other items available upon request include: the “summary annual report” (your plan’s balance sheet), the Form 5500 (your plan’s tax return and a great source of information about its financial health), and the retirement plan document itself (in case you enjoy going through page after page of legal jargon).

The second major category of employer-sponsored retirement plans is the “**defined-contribution**” plan, known by names such as 401(k) and 403(b). With this type of plan, you choose how much to contribute from your payroll earnings, and depending on company policy, your employer may contribute extra too. However, no guarantees are made about how much your account will grow by the time you retire.

The benefit for employers using the defined-contribution plan is that you bear the investment risk from now until retirement, not your company. If your investments perform well, you’ll have a sizable amount in the plan at retirement; if they perform poorly, you’ll have to settle for a smaller amount.

This shift of investment risk from employer to employee is significant; you can no longer rely on having a fixed monthly income in retirement. It may seem at first like a worse deal than a defined-benefit plan. However, having access to a defined-contribution plan gives you the opportunity to build a balanced, long-term portfolio tailored to your specific goals and risk tolerance.

The most common type of defined-contribution plan is the aforementioned

401(k)—named after section 401(k) of the tax code. 403(b) plans are similar but are designed for employees of nonprofit organizations and institutions. As of early 2025, approximately 70% of U.S. workers had access to a 401(k) or a similar plan.

Here are the main features of traditional 401(k) plans (note: the features of the “Roth” 401(k) are different; they will be explained shortly):

- **Contributions are tax-deductible in the year they are made.** However, limits set the maximum amount you can contribute. According to IRS guidelines for 2026, the highest contribution limit for a 401(k) plan is \$24,500, plus an additional \$8,000 “catch-up” contribution if you’re at least 50 years old. (Note: If you’re between 60 and 63, you can make an even larger “super” catch-up contribution.)
- **Employees control how their money is invested.** However, they usually must choose from a lineup of employer-selected stock, bond, and money-market funds. This limits the employee’s flexibility to invest in the funds or securities they prefer. (To offset this drawback, some plans offer a “self-directed” option that allows employees to place buying and selling instructions through a broker, thus opening up a wide range of investment choices.)
- **All investment income and capital gains in the account grow tax-deferred.** However, withdrawals are taxed at ordinary income tax rates in the year they are made. Therefore, capital gains eventually lose their favorable tax status when they occur within a 401(k) account.

- **Payroll deduction offers a disciplined and consistent way to save for retirement.** However, once you contribute, you usually can't access the money before age 59½ without paying a 10% early withdrawal penalty (plus the regular income taxes on withdrawals as mentioned earlier). Still, many plans let employees borrow from their 401(k) accounts. (Warning: borrowing from a 401(k) can negatively affect your retirement savings.)
- **Most employers with 401(k) plans match their employees' contributions to some extent.** For example, a company might contribute 50 cents for every \$1 the employee contributes. This feature makes 401(k)s especially appealing: the employer match provides an immediate, automatic benefit on your contributions.

However, employers who offer matching programs set a limit on the amount they will match, such as up to 6% of the employee's income. Therefore, money contributed beyond this limit will not be matched. Additionally, many plans require employees to stay with the employer for a specified number of years before the matching contributions vest, meaning they become the employee's property. (They do this to discourage employee turnover.)

The 401(k) has become the foundation of our private pension system. At the start of 2025, 401(k) accounts were valued at approximately \$8.8 trillion. According to the Plan Sponsor Council of America, nearly 90% of those eligible to participate in a 401(k) do so. However, only about 15% of employees who participate in a 401(k) plan contribute the maximum allowed amount.

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*"If possible, we encourage you to contribute to your company's 401(k) plan at least enough to fully benefit from any employer-matching funds."*



If possible, we encourage you to contribute to your company's 401(k) plan *at least enough to fully benefit from any employer-matching funds*. If you're still working on paying off your consumer debt and/or building your emergency fund, that might not be immediately feasible, but it should become one of your intermediate-term financial goals.

If your 401(k) plan doesn't offer a matching feature, or if you can afford to contribute beyond the maximum matching percentage, you should consider the remaining benefits of 401(k)s versus the advantages and disadvantages of IRAs before deciding which should take priority in your retirement planning.

## Roth 401(k)

Before discussing IRAs, here are details about two other common employer-sponsored retirement plans. The first is the “**Roth**” 401(k), which differs from the “traditional” 401(k) in an important tax aspect.

The tax benefit of investing in a traditional 401(k) is *immediate*. You can reduce your taxable income by an amount equal to your contribution. (You pay income tax when you withdraw money in retirement.)

However, the Roth 401(k) works differently. It doesn't offer a tax break upfront, but you *can withdraw your contributions and all the earnings built up over the years tax-free*. This makes the Roth 401(k) especially appealing to young investors who have many years to grow their earnings.

As with traditional 401(k)s, employers may match workers' contributions. However, with the Roth 401(k), matching money is

taxed differently under law than employee contributions. Employer-matching amounts are made with pre-tax dollars, which means any matching contributions will be taxed when withdrawals are made (in other words, some distributions from a Roth account might not be tax-free).

The most difficult part of deciding whether to choose the traditional 401(k) or the Roth 401(k) is related to tax rates—specifically, your current rate compared to what you expect to pay in retirement.

Most people today believe that, given the government's financial situation and debt levels, tax rates will likely be higher in the future. This makes a strong case for using the Roth, which lets you pay taxes on contributions now—possibly at lower rates—and then enjoy tax-free distributions later, when rates are likely to be higher overall.

But this misses an important point about retirement-account taxes: your highest (marginal) rate isn't the only one that matters. As mentioned above, with a traditional 401(k), you get a tax deduction based on how much you contribute. That deduction lowers your taxable income, saving you money at your top tax rate now. However, when you retire and start withdrawing funds, unless you have significant other income sources (which most retirees don't), your withdrawals won't be taxed immediately at the highest rates. Instead, they will begin filling in the tax brackets from the bottom, due to the progressive nature of the tax system.

Consider the table below, which shows the tax rate applied to retiree income for 2026. (Read this table from the bottom up.) It indicates that, due to the standard deduction and the additional standard

| 2024<br>Tax Rate | Retirement Income<br>Increments | Total Taxable<br>Income |
|------------------|---------------------------------|-------------------------|
| 37%              | All additional income           |                         |
| 35%              | Next \$256,250                  | \$804,200               |
| 32%              | Next \$108,900                  | \$547,950               |
| 24%              | Next \$192,150                  | \$439,050               |
| 22%              | Next \$110,600                  | \$246,900               |
| 12%              | Next \$76,000                   | \$136,300               |
| 10%              | Next \$24,800                   | \$60,300                |
| 0%               | First \$35,500                  | \$35,500                |

\* Assumes 'married, filing jointly' status, use of standard deduction, plus additional \$1,650 deduction for 65+ taxpayers.

deduction for seniors, a retired married couple filing jointly would owe no income tax on their first \$35,500 of income, then pay 10% on their next \$24,800, and so forth. (The new-for-2026 \$2,000 charitable-giving deduction and the temporary \$6,000 “bonus deduction” for seniors will reduce taxable income even further.)

The table shows that although someone may have a marginal tax rate of 22% in retirement, the first \$136,300 of taxable retirement income (and likely more) will be taxed at much lower rates.

For many workers, especially older and highly paid ones, this provides a strong argument for using the traditional 401(k) rather than a Roth. The traditional 401(k) lets you claim your tax deduction today at your highest tax rate, then probably pay taxes at lower rates in retirement. Conversely, the Roth 401(k) reverses this, requiring you to pay taxes now at higher brackets while potentially saving you money on taxes later when you're in lower brackets.

The case for traditional 401(k)s and IRAs is even stronger if you live in a

high-income-tax state. You'll save several additional percent in taxes now, regardless of your state tax rate. At worst, you'll pay a similarly high state tax when you withdraw the money in retirement. But optimally, you may pay much less if you retire in a low- or no-tax state, such as Florida or Texas, or if you happen to live in such a state at some point, which offers a prime chance to convert to Roth treatment at a lower overall tax rate.

There's an additional key benefit to traditional contributions over Roth: they reduce your taxable income for the year. Many tax benefits in the tax code are phased out for higher-income taxpayers. Deducting 401(k) and IRA contributions helps you maintain eligibility for more tax breaks.

## Thrift Savings Plan

Another popular plan is exclusive to federal employees: the Thrift Savings Plan. The TSP—offering both “traditional” and Roth options—features a generous employer-matching component, making it highly appealing as a retirement plan. Initially, the government automatically contributes an amount equal to 1% of the employee's salary. Next, for every dollar employees contribute up to 3% of their salary, the government matches with a dollar. Additionally, for contributions of 3% to 5%, the government adds 50 cents per dollar. Therefore, by contributing 5%, employees effectively double their contributions thanks to the government's matching funds.

When you leave your government job, you can transfer your Thrift account assets into a personal IRA. If you retain your TSP

account until retirement, withdrawals from a traditional TSP will be taxed as ordinary income, just like a traditional 401(k). Conversely, Roth TSP withdrawals are tax-free if certain age and timing requirements are satisfied. (*Matching* contributions, however, will be taxed upon withdrawal because they were not taxed initially.)

## The Ins and Outs of IRAs

As we discuss Individual Retirement Accounts now, some terminology will sound familiar because it mirrors our 401(k) conversation. There are “traditional” IRAs and “Roth” IRAs.

The IRA appeared on the financial scene in the 1970s, but it didn’t really gain prominence until the early ‘80s, when Congress voted to allow wage earners to put away up to \$2,000 a year for retirement and deduct the contribution on their federal

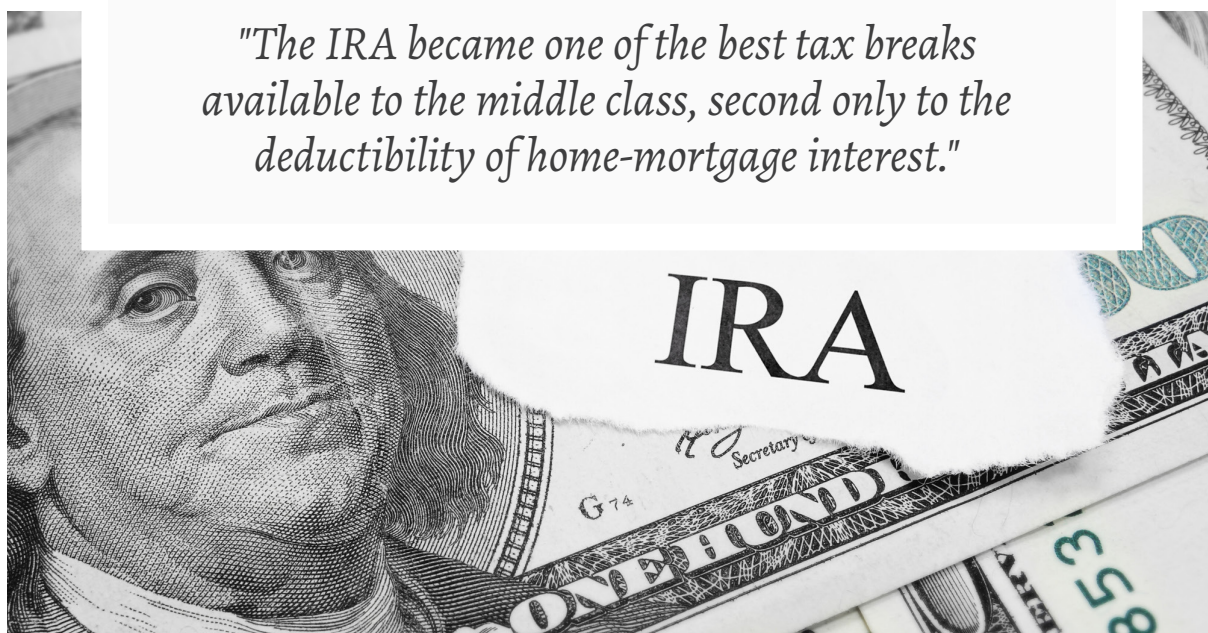
income tax return. The IRA became one of the best tax breaks available to the middle class, second only to the deductibility of home-mortgage interest.

The Roth IRA was created in 1997 and was named after Sen. William Roth, a longtime supporter of IRAs. (Sen. Roth’s name is also associated with the Roth 401(k) mentioned earlier.) The main difference between the Roth IRA and the traditional (or “deductible”) IRA is how taxes are handled — do you want to pay them now or pay them later?

In a traditional IRA—similar to a traditional 401(k)—you get a tax deduction for your contributions, meaning you save on taxes now. You pay income tax on all contributions and gains when you withdraw the money later (pay taxes later). With a Roth IRA—like a Roth 401(k)—your current contributions are not deductible at all (no tax savings now), but your future withdrawals,

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*"The IRA became one of the best tax breaks available to the middle class, second only to the deductibility of home-mortgage interest."*



including your investment gains, are tax-free (no taxes to pay later, ever).

## How to choose

Three questions will help you decide which is best: a traditional IRA or a Roth.

The first question to consider is: Do you expect to be in a lower tax bracket when you retire than you are now? If so, choose a traditional (deductible) IRA. You get a tax benefit now while your rates are higher, and pay tax later when they're lower. Conversely, if you anticipate a higher bracket in retirement, pay your taxes now and put the money in a Roth. It'll definitely feel good coming out tax-free in the future.

Unfortunately, as discussed in the Roth 401(k) section, the question of future tax rates isn't as simple as it appears. This is because, with a traditional IRA, the tax dollars you save now are deducted from your income at your highest marginal tax rate. However, when you retire, you might not have much income besides what you withdraw from your retirement accounts.

This means that much of the money you withdraw from your IRA will likely "fill in" the lower tax brackets, being taxed at those lower rates, even if the last dollars you take out in a given year are in relatively high brackets (similar, perhaps, to the maximum rate you're paying now).

This is a potentially strong argument for sticking with a traditional IRA if you qualify for deductible contributions. Even if marginal tax rates increase in the future, as many expect, it's possible that for many retirees, their average tax rate in retirement will be lower than their current

marginal (highest) tax rate. And that's the main comparison to consider for this decision.

Another question to consider when choosing between traditional and Roth is this: *Would you prefer to delay withdrawals past age 73 (or possibly leave the IRA to your heirs)?* If so, go with the Roth, which has no required minimum distributions.

The final question is: Can you afford to contribute the maximum allowable amount into a Roth IRA (currently \$7,500 if you're under age 50, \$8,600 if you're older)? Remember, these are after-tax dollars. Assuming you're in the 22% tax bracket, you'd need to actually set aside \$9,615 to make a \$7,500 contribution—\$7,500 for your Roth and \$2,115 for federal taxes.

If you're considering a traditional IRA, be aware of two main drawbacks. One is that it turns lower-taxed capital gains into higher-taxed ordinary income. This is because, under current law, when you start taking money out, it's all taxed the same way—as ordinary income—even though a significant portion of your growth may come from capital gains, which are usually taxed at a lower rate.

Another drawback is that there are rules about how much you must withdraw each year (once you reach age 73). If you violate these "required distribution" rules, the penalties are severe.

Another point to consider is that Roth IRAs provide more flexibility than traditional IRAs if you encounter a cash crunch. With a Roth IRA, you can always access the principal you've contributed without facing additional income taxes or penalties.

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*“For those who can afford it, we recommend contributing to your 401(k) up to the match limit before funding an IRA. Both options are excellent tools to help you achieve your retirement goals.”*

Additionally, *earnings* (i.e., investment gains on your contributions) can typically be withdrawn early without penalty if the distributions are for death or disability, high medical expenses, qualified higher-education costs for you, a spouse, child, or grandchild, or first-time home buyer expenses. Of course, there are many detailed rules for each of these exceptions, so you’ll need to do some research to find out the specifics, but generally, you just pay income taxes on the earnings and avoid penalties.

With traditional IRAs, however, if you access your money early, you’ll face significant penalties.

## Other considerations: Should a 401(k) or an IRA have the priority?

If you can’t afford to contribute to both a 401(k) and an IRA, you clearly face a choice—but there’s no universal answer. Much depends on your individual circumstances.

Two advantages of the IRA are that you have greater control—such as choosing the financial institution your IRA is with—and a likely *broader range of investment options* if you open your IRA with a mutual-fund broker. A major benefit of the 401(k), however, is that you can usually contribute more each year—up to \$24,500 in 2026—than you can to an IRA. With special “catch-up” contributions, people aged 50 or older can add an extra \$8,000, bringing their total to \$32,500. (The “super” catch-up limit for those aged 60-63 is \$11,250.) In comparison, the maximum IRA contribution is \$7,500, with an additional \$1,100 catch-up contribution for those 50 and older. If you have significant savings goals, 401(k)s offer a clear advantage.

As mentioned before, the key advantage of the 401(k) is employer matching. If your employer’s 401(k) plan offers any type of matching, aim to contribute enough to fully benefit from the match. Only after reaching that limit should you consider an IRA alternative. (Also, make sure you understand any vesting rules that may apply to the matching funds in your 401(k).)

The “IRA or 401(k)” decision doesn’t have to be an all-or-nothing choice. For those who can afford it, we recommend contributing to your 401(k) up to the match limit before funding an IRA. Both options are excellent tools to help you achieve your retirement goals.

## Practical matters: Opening an IRA

All major banks, brokerage firms, and mutual fund companies offer self-directed IRA accounts. “Self-directed” means you decide how to invest the money you put into the account.

The competition for your IRA business is intense, as shown by firms' willingness to waive or lower their standard annual fees for IRA accounts. Many discount brokers charge no annual fees for IRAs. They often provide a large selection of mutual funds—many with no-transaction-fee options—saving you even more money.

## Moving money: How to roll your 401(k) into an IRA

If you've recently left an employer where you had a 401(k) (or another retirement plan), chances are you'll want to roll that money into an IRA. Yes, sometimes you can leave it in the old plan. But unless you're completely happy with the investment options in your previous plan, you'll probably prefer the extra control that rolling it into an IRA

offers. Another option, if permitted, is transferring the money into your new employer's 401(k), but again, an IRA generally provides more control and a wider range of investment choices.

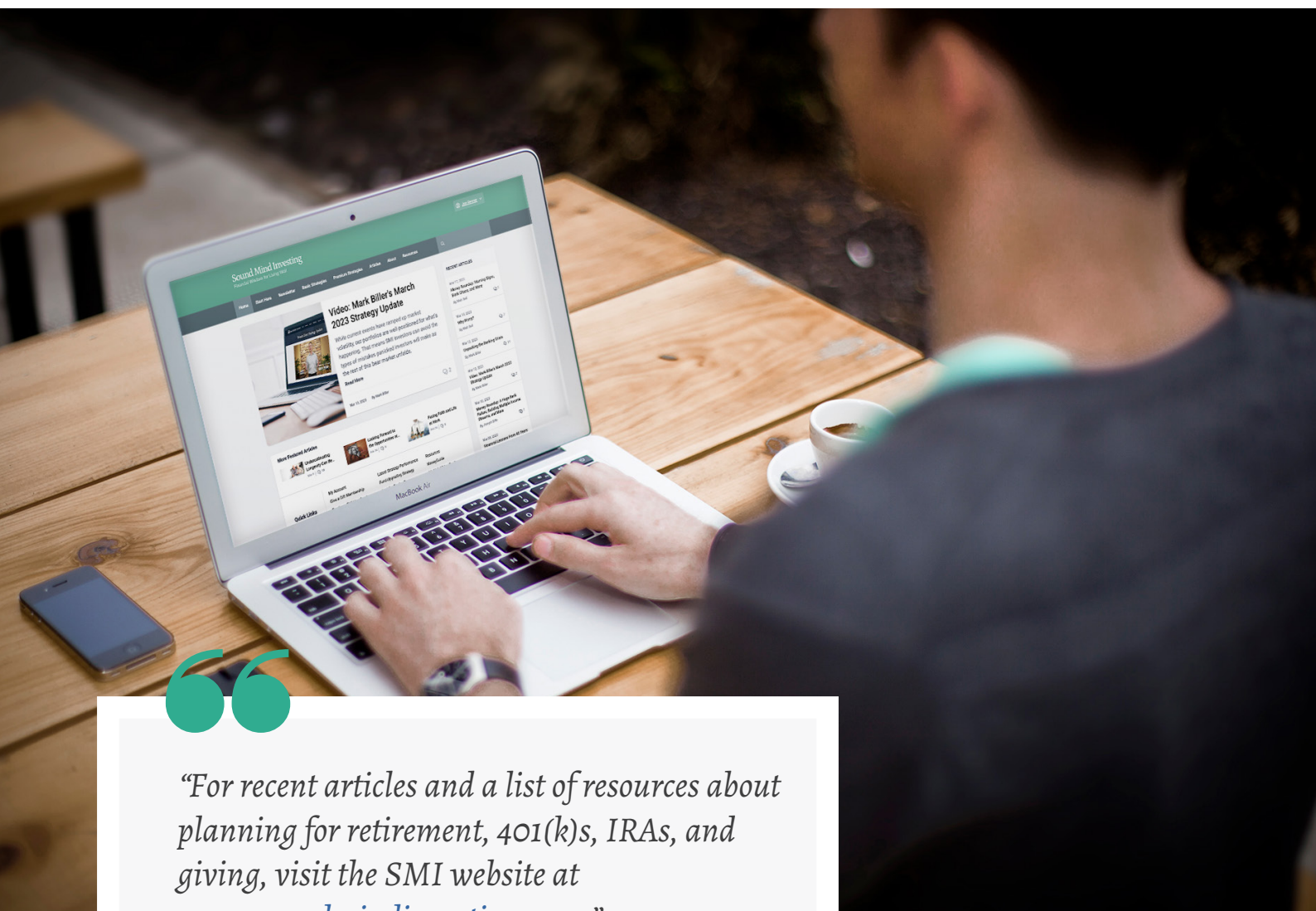
Rollovers are typically easy to complete. First, open a new IRA account with a brokerage firm or mutual fund company. Usually, you indicate on the new account forms that this account will be a "rollover IRA."

Once your account is set up, instruct your former employer to transfer the funds directly into your new IRA. You'll likely need to fill out a specific form to do this, so check with your former employer's HR department. By requesting the money be sent directly to your new account—in what is called a "trustee-to-trustee transfer"—you avoid potential tax issues that can come with handling the rollover yourself.

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*"The competition for your IRA business is intense, as shown by firms' willingness to waive or lower their standard annual fees for IRA accounts."*





*“For recent articles and a list of resources about planning for retirement, 401(k)s, IRAs, and giving, visit the SMI website at [www.soundmindinvesting.com](http://www.soundmindinvesting.com).”*

For most people, that’s all there is to it. When the new money shows up in your IRA account, you’re ready to choose your new investments.

One word of caution: If you have appreciated company stock in your plan, it might be better not to roll it into an IRA. Due to the potential difference between the capital gains tax rate and your ordinary income tax rate, you could benefit more by

taking the actual stock and skipping the IRA. This decision requires some careful calculation.

## Staying up-to-date

For recent articles and a list of resources about planning for retirement, 401(k)s, IRAs, and giving, visit the SMI website at [www.soundmindinvesting.com](http://www.soundmindinvesting.com).



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He helped develop several of SMI's investment strategies, led the company's efforts to create its first website, and has been a contributing author to The Sound Mind Investing Handbook.

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Mark earned his undergraduate degree in Finance from Oral Roberts University.

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